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China Financials | Asia Pacific

1Q26: healthy payment data; Some consumption payment returned to bank cards

Key Takeaways

- Total system payment volume recorded a strong rebound in 1Q26 from a low base in 1Q25, up 29% yoy (vs +5% yoy in 4Q25).
- Overall consumption payment data trended better than official consumption data with bank card consumption payments up 3.2% yoy in 1Q26 vs a decline in 2025...
- ... while official retail sales growth further moderated to 2.4% yoy, which might have resulted from a consumption shift from online back to offline channels.
- UnionPay payment growth rebounded to 11.2% yoy; while NetsUnion payment growth slightly moderated to 7.2% yoy, also above official retail sales growth.
- Household financial asset growth remained decent in 1Q26, up 10.8% yoy, per our estimate.

Payment growth in NetsUnion and UnionPay remained healthy in 1Q26:

NetsUnion and UnionPay payment – a good proxy for consumption payment – increased 7.2% and 11.2% yoy, respectively, still at reasonable levels compared to continued moderation in retail sales growth at 2.4% yoy.

Bank card consumption growth turned positive: While we believe banks still remain more conservative on credit card loan allocation, the trend posts positive signs for bank card consumption growth returning to a normal pace at 3-4%.

Our estimate shows 10.8% yoy household financial asset growth in 1Q26, led by equities and mutual funds. This, along with recovery in consumption payment, should support banks' fee income in 2026.

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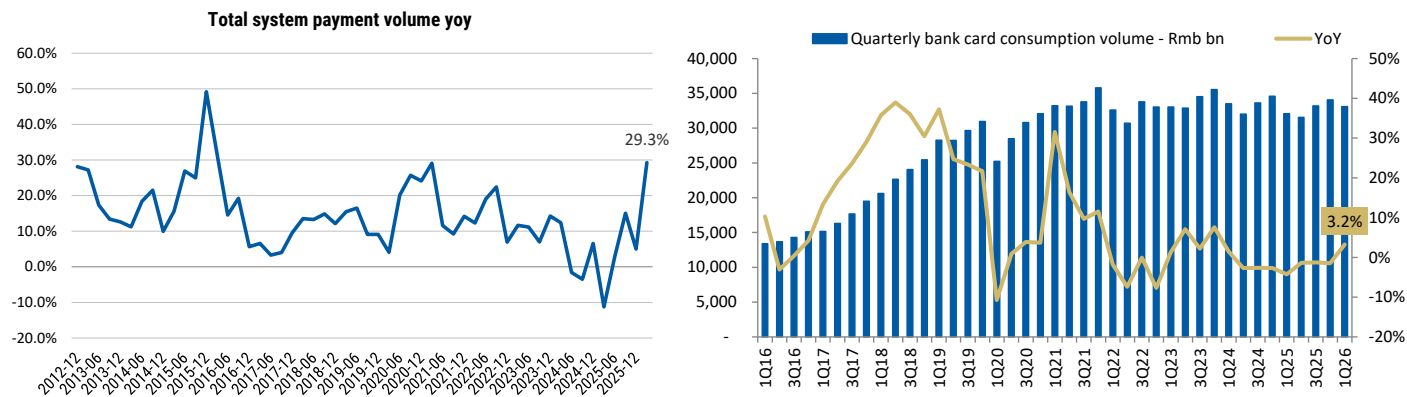
Attractive

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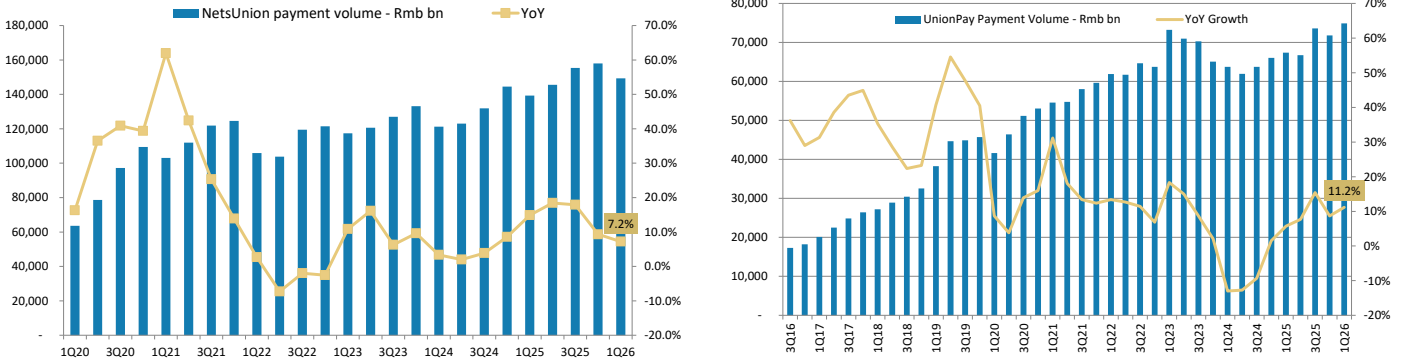
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Exhibit 1: Total system payment volume picked up 29% yoy in 1Q26 vs 5% in 4Q25. Bank card consumption growth turned positive, up 3.2% yoy, vs decline in 2025.



Source: PBOC, CEIC, Morgan Stanley Research

Exhibit 2: UnionPay payment growth rebounded from 4Q, up 11.2% yoy; while NetsUnion payment growth slightly moderated to 7.2% yoy.



Source: PBOC, CEIC, Morgan Stanley Research

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Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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Chiyao Huang		
China International Capital Corp. Ltd. (3908.HK)	O (02/28/2025)	HK\$19.62
China Merchants Securities Co Ltd (600999.SS)	U (09/29/2022)	Rmb16.99
China Merchants Securities Co Ltd (6099.HK)	U (10/29/2024)	HK\$14.64
CITIC Securities Co. (6030.HK)	E (10/29/2024)	HK\$26.04
CITIC Securities Co. (600030.SS)	O (08/07/2025)	Rmb26.05
East Money Information Co Ltd (300059.SZ)	E (09/19/2025)	Rmb19.16
Futu Holdings Ltd (FUTU.O)	O (11/18/2024)	US\$104.07
Galaxy Securities (6881.HK)	E (02/27/2020)	HK\$7.76
Galaxy Securities (601881.SS)	U (09/29/2022)	Rmb12.28
GF Securities (000776.SZ)	E (08/07/2025)	Rmb18.89
GF Securities (1776.HK)	E (01/06/2023)	HK\$16.15
HTSC (601688.SS)	E (09/23/2024)	Rmb18.18

HTSC (6886.HK)	E (09/23/2024)	HK\$15.85
Richard Xu, CFA		
Agricultural Bank of China Limited (601288.SS)	E (05/07/2019)	Rmb6.32
Agricultural Bank of China Limited (1288.HK)	O (10/19/2020)	HK\$5.77
Bairong Inc. (6608.HK)	E (09/09/2025)	HK\$5.43
Bank of Beijing Co Ltd (601169.SS)	E (08/17/2022)	Rmb5.09
Bank of Chengdu Co Ltd (601838.SS)	O (08/17/2022)	Rmb18.60
Bank of China Limited (601988.SS)	E (05/07/2019)	Rmb5.86
Bank of China Limited (3988.HK)	O (01/10/2020)	HK\$5.21
Bank of Communications (3328.HK)	U (05/20/2022)	HK\$7.30
Bank of Communications (601328.SS)	U (09/05/2014)	Rmb6.66
Bank of Hangzhou Co Ltd (600926.SS)	E (08/17/2022)	Rmb16.01
Bank of Ningbo Co. Ltd (002142.SZ)	O (08/17/2022)	Rmb31.03
China CITIC Bank Corporation Limited (601998.SS)	E (04/16/2025)	Rmb7.42
China CITIC Bank Corporation Limited (0998.HK)	O (04/16/2025)	HK\$7.29
China Construction Bank Corp. (0939.HK)	O (10/11/2012)	HK\$8.49
China Construction Bank Corp. (601939.SS)	E (05/07/2019)	Rmb9.96
China Everbright Bank Co Ltd (6818.HK)	U (05/12/2023)	HK\$3.05
China Everbright Bank Co Ltd (601818.SS)	U (05/20/2022)	Rmb3.10
China Merchants Bank (600036.SS)	O (01/07/2019)	Rmb38.01
China Merchants Bank (3968.HK)	O (09/20/2018)	HK\$47.10
China Minsheng Banking Corp. (600016.SS)	O (08/28/2025)	Rmb3.55
China Minsheng Banking Corp. (1988.HK)	O (05/12/2023)	HK\$3.36
Chongqing Rural Commercial Bank (3618.HK)	U (05/12/2023)	HK\$6.36
Hua Xia Bank (600015.SS)	U (06/30/2015)	Rmb6.71
Industrial and Commercial Bank of China (1398.HK)	O (08/09/2013)	HK\$6.64
Industrial and Commercial Bank of China (601398.SS)	E (09/19/2022)	Rmb7.22
Industrial Bank Co. Ltd. (601166.SS)	O (02/25/2019)	Rmb18.50
Lufax (LU.N)		US\$1.65
Ping An Bank (000001.SZ)	O (05/07/2019)	Rmb10.93
Postal Savings Bank of China Co Ltd (1658.HK)	O (11/01/2016)	HK\$5.02
Qifu Technology Inc (QFIN.O)	O (08/25/2020)	US\$16.08
Shanghai Pudong Development Bank (600000.SS)	E (08/05/2025)	Rmb9.37

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.